2. At the beginning of the next accounting period the above entry is reversed to bring into account outstanding expenses at the beginning so that it is reduced from amount of expense of next year.

Example

For the year 2017, rent is payable @ ₹ 2,000 p.m. and during the year ₹ 20,000 is paid on account of rent.

Total rent for the year 2017 is ₹ 24,000 i.e., 2,000 p.m. x 12 months. The difference between total rent payable and actual rent paid ₹ 4,000 (i.e. ₹ 24,000 - ₹ 20,000) is outstanding rent. The adjusting entry is:

Adjusting entry

Date	Particulars		L.F.	Debit ₹	Credit ₹
2017	Rent A/c	Dr.		4,000	
Dec 31	To Outstanding rent A/c				4,000
	(Rent outstanding adjusted)				

In final accounts, it is presented as follows:

Dr. Trading Account for the year ended 31st December, 2017 Cr.

Particulars	₹	₹	Particulars	₹	₹
To Rent	20,000				
Add: Outstanding	4,000	24,000			

Balance Sheet as on 31st December, 2017

Liabilities	₹	₹	Assets	₹	₹
Rent outstanding		4,000			

(iii) Prepaid Expenses

Prepaid expenses refer to any expense or portion of expense paid in the current accounting year but the benefit or services of which will be received in the next accounting period. They are also called as unexpired expenses. Though these expenses are paid in the accounting period, they are not incurred during the accounting period. Prepaid expense account is a representative personal account. Expense account is a nominal account.

Adjusting entry

Particulars		L.F.	Debit ₹	Credit ₹
Prepaid expense A/c	Dr.		xxx	
To Concerned expense A/c				xxx
(Expense paid in advance adjusted)				

Presentation in final accounts

In Trading A/c or Profit and loss A/c	Amount prepaid is deducted from particular expense in the trading account or profit and loss account depending upon whether it is direct or indirect respectively.
In Balance Sheet	Amount of prepaid expense is shown on the assets side under current assets.

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